

Gross Rent Multiplier and Gross Income Multiplier

One way of analyzing a property's value is to look at its ability to earn future income. Properties are classified in one of two ways, and each uses a corresponding multiplier to determine value.

- Single-family homes and two- to four-family units are considered residential and use the gross rent multiplier (GRM).
- Properties with more than four units are considered commercial properties and use the gross income multiplier (GIM).

The **Gross Rent Multiplier** is calculated by dividing the sale price by the gross monthly rent.

The **Gross Income Multiplier** divides the sale price by the gross annual income; rent and any additional income produced by the property such as laundry or vending services. Remember, the multiplier you should use is determined by the nature of the property.

- **One to four units:** Sales price $\div$ monthly gross rent = gross rent multiplier
- **Five or more units:** Sales price $\div$ annual gross income = gross income multiplier

Note: This approach cannot stand by itself as an indication of value for residential property. The sales comparison approach is also needed.

NOTE: These formulas do NOT apply to condominium complexes. Because a condo is considered a "single dwelling," and is individually owned, the gross rent multiplier must always be used, regardless of how many units exist in the condo complex.

Example

A condo complex has 10 units. The GRM (not GIM) must be used to determine the property's future income (whether the complex has two units or 200).

Applying the Formulas

- Gather rental comparables of similar properties from the MLS or other local sources (up to 10 comparables).
- Estimate the GRM or GIM by comparing the gross rent (or income) received and the sales prices of comparable properties.

Examples

GIM: Comp 1 has 10 units and a rental income of \$10,000 per year. It sold for \$100,000. The GIM is 10X ($\$100,000 \div \$10,000$).

GRM: A single family property that sold for \$150,000 and has a monthly income of \$2,000 would have a GRM of 75X ($\$150,000 \div \$2,000$).

- Determine which GRM (or GIM) to apply to the subject property by selecting from the GRMs (or GIMs) of the comparables most similar to the subject.

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- ,>Apply the selected GRM or GIM to the subject's rents.

Example

If the gross annual market rent of the subject property is \$10,000 and the multiplier extracted from the local market is 12X, the estimated value of the subject is \$120,000.